

eight.” We had no idea how many instant messaging clients there were in the world.

We had the incorrect preconception that it’s a challenge to learn new software and it’s tricky to move your friends over to a new buddy list. Our customers revealed that this was nonsense. We wanted to draw diagrams on the whiteboard that showed why our strategy was brilliant, but our customers didn’t understand concepts like network effects and switching costs. If we tried to explain why they should behave the way we predicted, they’d just shake their heads at us, bewildered.

We had a mental model for how people used software that was years out of date, and so eventually, painfully, after dozens of meetings like that, it started to dawn on us that the IM add-on concept was fundamentally flawed.³

Our customers did not want an IM add-on; they wanted a stand-alone IM network. They did not consider having to learn how to use a new IM program a barrier; on the contrary, our early adopters used many different IM programs simultaneously. Our customers were not intimidated by the idea of having to take their friends with them to a new IM network; it turned out that they enjoyed that challenge. Even more surprising, our assumption that customers would want to use avatar-based IM primarily with their existing friends was also wrong. They wanted to make new friends, an activity that 3D avatars are particularly well suited to facilitating. Bit by bit, customers tore apart our seemingly brilliant initial strategy.

Throwing My Work Away

Perhaps you can sympathize with our situation and forgive my obstinacy. After all, it was my work over the prior months that needed to be thrown away. I had slaved over the software that was required to make our IM program interoperate with other networks, which was at the heart of our original strategy. When it came time to pivot and abandon that original strategy, almost all of